

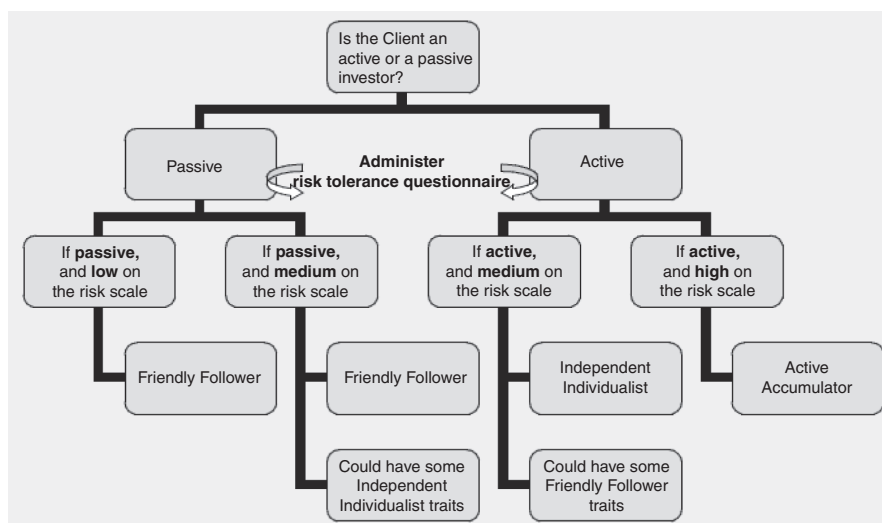


FIGURE 26.4 The Behavioral Investor Type Diagnostic Process

emotionally driven; they get very emotional about losing money and very uneasy during times of stress or change. Similarly, very aggressive investors also are emotional. They typically suffer from overconfidence and mistakenly believe they can control their investment outcomes. In between are the investors who mainly suffer cognitive biases and need education and information to make better investment decisions. But of primary importance is this: *Clients who are emotional investors need to be advised differently than those who make mainly cognitive errors.* When advising emotional investors, advisors must focus on how the investment program impacts important emotional issues such as financial security, retirement, or future generations, not quantitative details such as standard deviations and Sharpe ratios. The quantitative approach is more effective with clients who are less emotional and tend to make cognitive errors (see Figure 26.4).

SUMMARY

Now that we have an understanding of the basics of how to identify behavioral investor types, we will now move to Chapter 27 that will review the specific details of each type and advice for overcoming the biases associated with each type.